Do Both Parental and Personal Values and Expectations Influence Young Adult's Financial Behaviors and Well-Being?

Does Employment Status Matter?

Family Social Science
COLLEGE OF EDUCATION + HUMAN DEVELOPMENT

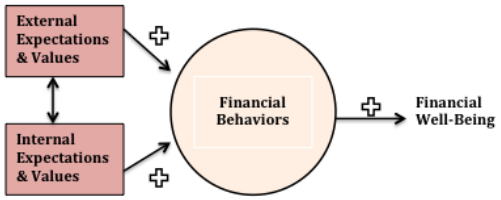
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Significance

Theory

Expectancy-Value Theory (EVT) (Eccles & Wigfield, 2002) provides a theoretical frame to better understand how both internal and external factors influence financial behavior. A key assumption of EVT is that "expectancies and values are assumed to directly influence performance, persistence, and task choice" (Eccles & Wigfield, 2002, pg. 118). One's perception of expectations and values, as grounded in one's internalization of parental social norms, as well as one's personal financial expectations and values, will influence one's financial behavior and perception of financial well-being. In this sense, EVT guides the study about how young adults combine their parents' influence with their own personal motives to influence their financial



Literature Review

•Responsible financial behaviors among young adults are associated with financial well-being (Shim et al., 2015). Literature shows that external financial socializing agents, particularly parents, are instrumental in shaping financial values and behaviors of young adults (Serido et al., 2015). However, young adults' values and expectations may also equally influence their financial behavior.

•Despite an improving U.S. economy, financial instability remains the leading source of stress among adults (American Psychological Association, 2015).

•Employment is one marker of adult status (Arnett, 2000) and the main avenue for financial independence, but employment opportunities may look different following the Great Recession.

•Shierholz et al. (2013) reported an increase in young college graduates who were unemployed, underemployed, or working jobs that did not require a college degree, as compared to before the recession. Young adult's employment status is not reflective of a lack of skills or education, but rather is a result of a decrease in demand and an increase in lower-paying jobs (Shierholz et al., 2013).

Purpose

- The purpose of this study is to investigate the simultaneous associations of both internal and external values and expectations on young adults' financial behavior, and in turn how these internal and external factors affect young adults' financial well-being.
- For college graduates after the Great Recession, employment was especially challenging. Thus, the study also considers whether employment status moderates the relationship between financial behaviors and one's perception of financial well-being.

Research Questions & Hypotheses:

RQ1. Do both early parental (external) and personal (internal) expectations and values influence later financial behavior?

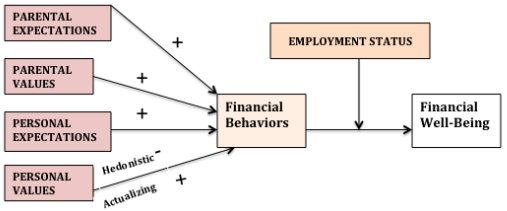
Hypothesis 1: Both early external (parental) and internal (personal) expectations and values will have a direct effect on young adults' later financial behaviors (Drever et al., 2015; Gudmunson & Danes, 2011). Early parental expectations and parental values will have a positive direct effect on young adults' later financial behaviors (H1a). Personal expectations and actualized values will have a direct positive effect on young adults' financial behaviors (H1b) whereas hedonic values will have a direct negative effect on young adults' financial behaviors (H1c).

RQ2. Do financial behaviors concurrently predict financial well-being and mediate the influence of both parental (external) and personal (internal) expectations and values?

Hypothesis 2: Financial behaviors will mediate the associations between both early parental and personal expectations and values and later financial well-being. Concurrent financial behavior will have a positive direct effect on young adult's financial well-being (H2a).

RQ3. Does employment status moderate the association between financial behavior and financial well-being? Given the developmental salience of employment during the transition to adulthood, employment status may interact with financial behavior and modify the association between financial behavior and financial well-being.

Based on the empirical literature, there is evidence that employment is associated with financial well-being but the empirical and theoretical support for moderation is unclear.



Travel to this conference was supported by the Ruth E. Hall Fund for Graduate Student Professional Development.

Results

Sample (n=754)

The study used data from the Arizona Pathways to Life Success (APLUS) project collected at two time points five years apart.

- Wave 1: 18-21 yr.,, Wave 2: 22-27 yr. 88.7% graduated from college
- 62.5% female and 37.5% male. About 68% were white, 15.5% Hispanic, 9% Asian/Pacific Islander, 2.9% African-American, 1.6% Native American, and 3% other/missing. About 16.4% were first generation, lower SES; 33.5%, ~ annual income < $50,000, middle SES: 25.1%, ~ annual income between $50,000 and 200,000, and higher SES families; 41.4%, ~ annual income > $200,000.

Method

A series of hierarchical linear multiple ordinary least squares (OLS) regressions were conducted to further evaluate the separate and combined effects of early external and internal expectations and values, along with later financial behaviors in predicting later financial well-being, and whether employment had a moderating effect on financial behavior.

Discussion

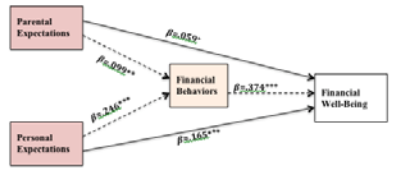
•Early personal expectations significantly predicted later financial behavior and financial well-being ($F(15,709) = 21.841$, $p = .000$), adjusted $R^2 = .306$).

• Parental expectations remained important for financial well-being, but not for financial behavior.

•Although a significant predictor, employment status did not have a moderating effect on the associatio

•Partial support was found for financial behavior as a mediato of parental expectatio

•Although not fully mediating, there is evidence of an indirect effect on personal expectations.



Key References

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